

Health Insurance and COBRA

If you have health insurance, you're most likely covered under a group plan provided by your employer or your spouse's employer. Some people who don't have the benefit of a group plan through work purchase their own individual policies or are covered under COBRA. Others have no coverage at all.

No matter how old (or young) you are, you need health insurance to protect yourself against financial disaster if you become seriously ill or have an accident. If you simply can't afford the premiums, buy a policy with a very high deductible (\$5,000 for example) to limit your exposure.

Indemnity or Fee-for-Service Plans

Whether you're eligible for health insurance under an employer's plan or buying your own individual policy, you'll probably be offered a number of choices, including HMOs, PPOs, and point-of-service or indemnity plans. Indemnity plans, also referred to as fee-for-service plans, are traditional plans that allow you to go to any doctor you choose. These plans provide the most flexibility, but due to spiraling health care costs and higher premiums, fewer employers are offering them. Employers are attempting to control costs by shifting more of the cost to employees who choose these plans instead of HMOs and PPOs. Often indemnity plans require you to pay up front and submit a claim to your insurance company for reimbursement.



If your health history makes you uninsurable, you may be able to buy health insurance through your state's risk pool. Find out what your state has to offer before you go without insurance. Start your research at www.naic.org, and continue on to your state's insurance resource site.